

BRITISH MANAGEMENT UNIVERSITY
PRINCIPLES OF MACROECONOMICS

MOCK FINAL TEST

FOR PRACTICE ONLY

Section A. Multiple Choice Questions 1 to 10 - each question is worth 3 marks. Total: 30 marks

Choose the correct answer for each question.

Question	1	2	3	4	5	6	7	8	9	10
Answer										

1. Which of the following does NOT add to U.S. GDP?

- a) Air France buys a plane from Boeing, the U.S. aircraft manufacturer.
- b) General Motors builds a new auto factory in North Carolina.
- c) The city of New York pays a salary to a policeman.
- d) The federal government sends a Social Security check to your grandmother.

2. If all quantities produced rise by 10 percent and all prices fall by 10 percent, which of the following occurs?

- a) Real GDP rises by 10 percent, while nominal GDP falls by 10 percent.
- b) Real GDP rises by 10 percent, while nominal GDP is approximately unchanged.
- c) Real GDP is unchanged, while nominal GDP rises by 10 percent.
- d) Real GDP is unchanged, while nominal GDP falls by 10 percent.

3. Because consumers can sometimes substitute cheaper goods for those that have risen in price,

- a) the CPI overstates inflation.
- b) the CPI understates inflation.
- c) the GDP deflator overstates inflation.
- d) the GDP deflator understates inflation.

4. Structural unemployment is most likely caused by:

- a) Workers temporarily searching for better jobs.
- b) A mismatch between workers' skills and available jobs.
- c) A short-run fall in aggregate demand during a recession.
- d) A central bank reducing the money supply.

5. Which factor would directly increase labour productivity in the long run?

- a) More human capital and better technology.
- b) A temporary fall in consumer confidence.
- c) A higher inflation rate only.
- d) A decrease in exports.

6. If the reserve requirement increases, the money supply will:

- a) Increase
- b) Decrease
- c) Stay the same
- d) Become unpredictable

7. An increase in investment optimism will usually:

- a) Shift aggregate demand to the right.
- b) Shift aggregate demand to the left.
- c) Shift LRAS immediately to the left.
- d) Reduce the price level and output in the short run.

8. Which policy is most appropriate during a boom with high inflation?

- a) Expansionary fiscal policy
- b) Contractionary fiscal policy
- c) Increasing subsidies
- d) Increasing government spending

9. If a nation's currency doubles in value on foreign exchange markets, the currency is said to _____, reflecting a change in the _____ exchange rate.

- a) appreciate, nominal
- b) appreciate, real
- c) depreciate, nominal
- d) depreciate, real

10. A tariff differs from a quota because:

- a) It limits quantity directly
- b) It generates government revenue

- c) It fixes exchange rates
- d) It reduces exports

Section B. Fill in the Gaps - Questions 11 to 15 are worth 3 marks each. Total: 15 marks

Use only five words/phrases from the box. Spelling must be correct.

Aggregate supply; recessionary gap; deficit; natural; money multiplier; fiscal; floating exchange rate; inflation; net exports; crowding out; business cycle

- 11. A situation where actual output is below potential output is called a _____.
- 12. When a government spends more than it collects in taxes, it runs a budget _____.
- 13. A rise in the general price level over time is called _____.
- 14. The unemployment rate that exists even at full employment is known as the _____ rate of unemployment.
- 15. Higher government borrowing can raise interest rates and reduce private investment; this effect is called _____.

Section C. Questions 16 to 18 carry 55 marks in total

16. An economy begins at long-run equilibrium. Then imagine housing market collapse reducing consumption. (25 marks)

- a. Identify the type of short-run macroeconomic problem/gap that may arise.
- b. Explain the likely short run and long run effects on real GDP, unemployment, and the price level.
- c. Choose one stabilization policy that could reduce the fall in output and describe how the policy is implemented. Explain the likely short run and long run effects on real GDP, unemployment, and the price level.
- d. Describe the AD-SRAS-LRAS diagram conceptually.

17. In an open economy, private saving is \$520 billion, the government has a budget deficit of \$80 billion, and net capital outflow is \$150 billion. Calculate national saving and investment. (5 marks)

18. Economists in Funlandia, a closed economy, have collected the following information about the economy for a particular year. Calculate private saving, public saving, national saving, investment, and the equilibrium real interest rate. (25 marks)

$$Y=9000$$

$$C=500 + 0.75Y_d$$

$$T=2000$$

$$G=2500$$

The economists also estimate that the investment function is: $I=2500-120r$, where r is the country's real interest rate, expressed as a percentage.